

Board of Directors Package

Vanguard Auto Parts — Q4 2021

Board Meeting: February 6, 2022 | Confidential — Board Use Only

Date	February 6, 2022
Location	Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111
Board Members	M. Tang, D. Okafor (Atlas Crossing); B. Harmon (CEO); J. Whitfield, C. Moore (Independent)
Management	B. Harmon (CEO); T. Nguyen (CFO); S. Park (COO); M. Ellis (SVP Sales)
Deal Team	M. Tang (MD), D. Okafor (Principal), N. Patel (VP), A. Ross (Associate)

Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook
9. Other business / adjourn

Executive Summary

Vanguard Auto Parts delivered Q4 2021 revenue of \$164.0M and EBITDA of \$14.4M (8.8% margin), ahead of budget by 3.1%. FY2021 EBITDA grew 22% vs. entry LTM, driven by SKU rationalization savings (\$6.2M annualized), pricing discipline, and volume recovery.

Financial Performance

Metric	Q4 2021 Actual	Budget	Var. to Bud.	Prior Year Qtr	YoY
Revenue	\$164.0M	\$159.0M	+3.1%	\$147.0M	+11.6%
Gross Profit	\$37.7M	—	—	—	—
Gross Margin %	23.0%	—	—	—	—
EBITDA	\$14.4M	\$13.7M	+5.1%	\$12.4M	+16.1%
EBITDA Margin %	8.8%	—	—	—	—
D&A	(\$3.5M)	—	—	—	—
EBIT	\$10.9M	—	—	—	—
Interest	(\$6.8M)	—	—	—	—
Net Leverage	6.2x	—	—	Entry: 6.8x	—
LTM EBITDA	\$56.8M	—	—	Entry: \$52.7M	—

Operational KPIs

KPI	Current Quarter	Entry Baseline	Target
E-commerce % of Revenue	12.5	8.0	Target: 28.0
SKU Count (active)	197,000.0	182,000.0	Target: 248,000.0
Warehouse Locations	12.0	12.0	Target: 19.0
Fill Rate %	95.0	94.2	Target: 97.8

Strategic Initiatives

Initiative	Status	Detail
E-commerce portal	Launched Q3	14% of revenue after launch; 1,800 shop accounts activated online
SKU rationalization	Completed	28,000 SKUs deactivated; \$6.2M annualized cost savings
Detroit Auto acquisition	LOI signed	LOI signed Q4 2021; diligence underway; close target Q1 2022
Private label expansion	Initiated	Private label strategy approved; first 12 SKUs in development

Key Risks & Mitigation

Risk	Severity	Mitigation
Supply chain (fill rate)	Medium	Fill rate improved to 95.8%; targeting 97% by YE 2022
E-commerce adoption pace	Low	14% penetration exceeds plan; scaling customer success team
Detroit LOI	Low	No antitrust issues; HSR not required; close expected Q1 2022

Next Quarter Outlook

Q1 Q1 2022 expected \$176.7M. Detroit Auto close expected Q1 2022. E-commerce targeting 18% of revenue by YE 2022. Private label first SKUs Q2 2022.

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